



NITI Aayog

Strategy for

New India@75

STRATEGY FOR NEW INDIA @ 75

MODULE - 6

OBJECTIVES

6

DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE



- Income security for farmers, while maintaining India's food security.
- Encourage the private sector participation in agriculture development to transition from **agriculture to agri-business systems**.
- Promote through Govt. policies, the emergence of **agripreneurs**, so that even small and marginal farmers can also capture a higher share of value addition from farmgate to fork.

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DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE



FARMGATE TO FORK

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DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE

PRESENT SCENARIO



100% FDI is allowed in 2016-17, to improve private investment in agriculture.

- There is mismatch between contribution of agriculture to national income and share in employment.
- Manufacturing and services failed to absorb excessive workforce.
- Income per farmer never crossed one-third of the income of a non-agriculture worker, since the 1980s.
- The Country took 22 years to double the farmers' income, at an annual growth rate of 3.31% during 1993-1994 to 2015-16.
- Doubling the farmers' income between 2015-16 and 2022-23 requires an annual growth rate of 10.4% in farmers' real income.
- To achieve the target of doubling farmers' income by 2022-23, we have to convert farmers into agripreneurs.



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DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE

CONSTRAINTS

5

Exporters of agro-commodities are not successful in raising their share in global markets, because of uncertainty in the foreign trading regime.

4

Despite allocation of Rs. 11 lakh Cr of commercial credit, access to institutional credit remains a constraint for tenant farmers.



3

Lack of non-farm employment opportunities resulted in excessive dependence on agriculture.



FRAGMENTED LANDHOLDINGS IS THE REAL ISSUE!

1

Extremely fragmented landholdings with average farm size, 1.15 hectares and small and marginal farmers constitute around 85% of agricultural households and this makes them difficult to access credit or new technology and hence it affects farm productivity.

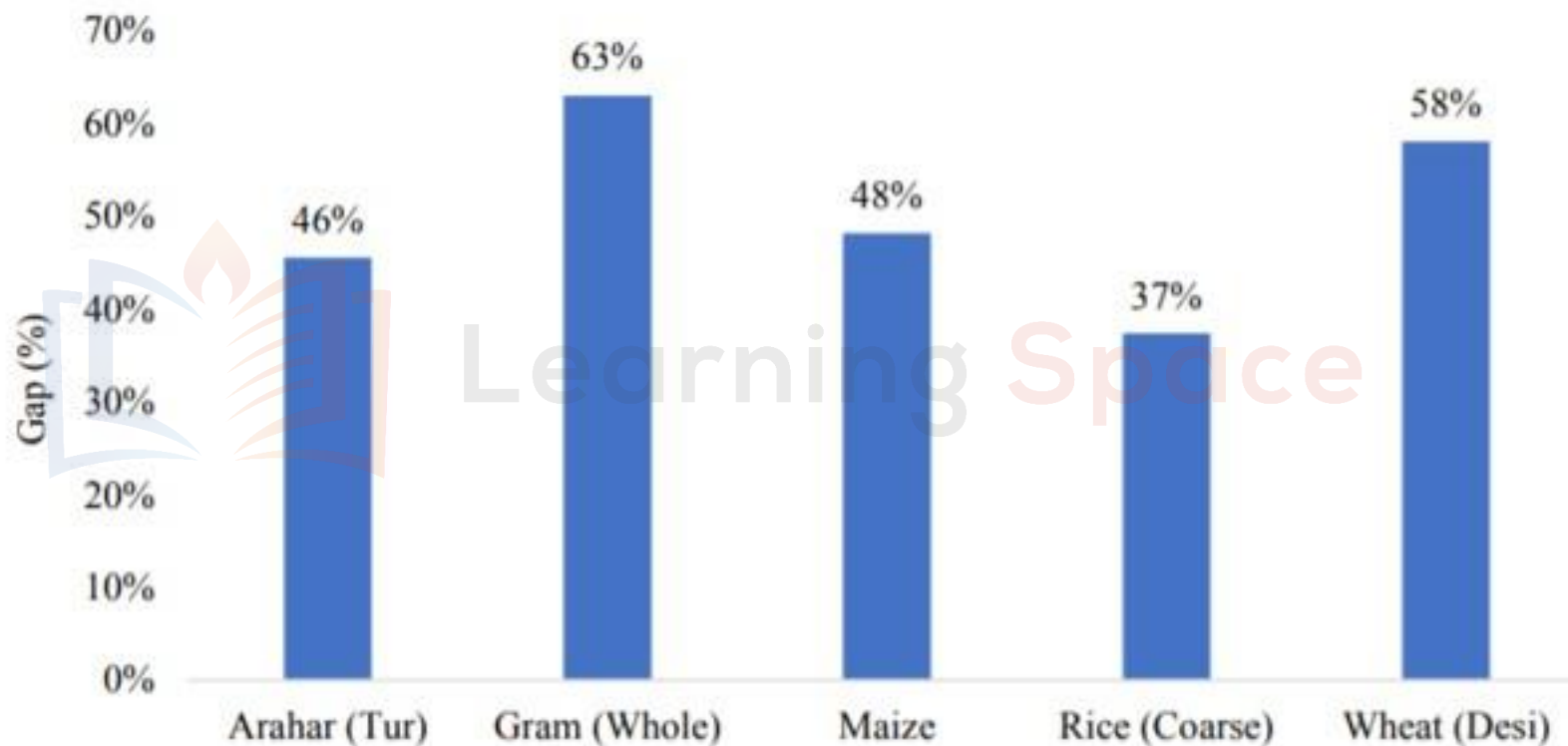
2

There is a gap between Farm Harvest Prices and Retail Prices.

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DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE

Price spread between farm harvest prices and retail prices for select agricultural commodities, 2015-16



Source: NITI Aayog Calculations & Directorate of Economics & Statistics, Ministry of Agriculture & Farmers Welfare

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DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE

WAY FORWARD

1

MARKETING REFORMS

- Adopting the Model Agricultural Produce and Livestock Marketing Act (APLM), 2017, which provides for progressive agricultural marketing reforms.
- They include setting up of markets in the private sector.
- They also include...
 - Direct sales to exporters/processors and customers.
 - e-Trading.
 - Single point levy of market fee.
 - A unified single trading licence in the States.
 - Declaring warehouses/cold storages as market sub-yards.
 - Launching National Market for Agriculture.



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DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE

2

AMEND ESSENTIAL COMMODITIES ACT



- Essential Commodities Act has consumer bias.
- There should be a separate statute, so as to maintain balance between consumer and the producer i.e., the farmer.



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DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE

3

STABLE EXPORT POLICY



- The Government should come up with a coherent and stable agricultural export policy, with five to ten-year time horizon.
- There must be provision for a mid-term review.
- It is ironical to note that, the Export-Import policies are at present taken with knee-jerk reactions.

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DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE

WAY FORWARD

4

PRICE REALISATION



A long-term solution lies in the creation of a competitive, stable and unified national market, to enable better price discovery and long-term trade regime favourable to exports.

- The Govt. should consider replacing the CACP by an agriculture tribunal in line with the provisions of Article 323 B of the Constitution.
- NITI Aayog should look at ...
 - Replacing MSP by a Minimum Reserve Price (MRP), which could be the starting point for auctions at mandis.
 - Separating the criteria for MSPs
 - For surplus produce
 - For deficit but globally available products
 - For products that are in deficit both domestically and globally.

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DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE

5

MODIFICATIONS TO PRADHAN MANTRI FASAL BIMA YOJANA



- Promote weather-based insurance.
- Increase non-loanee farmers' insurance coverage.
- Allow for mixed cropping and increase the number of crops notified.

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DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE

WAY FORWARD

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CONTRACT FARMING



- Encourage States to adopt Contract Farming.
- The contract will specify the price and quality at which the farmers' produce will be purchased.

WAY FORWARD

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DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE

5 There are provisions for dispute resolution like Negotiation and reconciliation for a mutually acceptable solution and appeals to the Contract Farming Authority, if no suitable solution is found.

4 Both the farmers and buyers need to be protected from risks pertaining to the execution of the contract.

SALIENT
FEATURES OF
THE MODEL
CONTRACT
FARMING ACT,
2018



1 It takes Contract Farming out of the ambit of Agricultural Produce Marketing Committees.

2 Every agreement shall be registered with a Registering and Agreement Recording Committee, consisting of officials from departments such as agriculture, horticulture, marketing etc.

3 It provides for creation of State level Contract Farming Authority.

WAY FORWARD

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DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE

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ENCOURAGE STATES TO ADOPT MODEL AGRICULTURE LAND LEASING ACT, 2016

- It aims to improve land access to small and marginal farmers through land leasing.
- It also provides for tenants to avail institutional credit.
- This spells out the rights and responsibilities of landowners and tenants.

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DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE

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PROMOTE FARMER PRODUCER ORGANIZATIONS

WAY FORWARD



- There are 741 FPOs in the country, managed under the aegis of SFAC.
- Aggregating the farmers can help achieve economies of scale.
- The benefits accorded to startups shall be extended to FPOs.
- NABARD's model of Joint Liability Groups can be promoted to channelize small growers into the value chain.



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DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE

WAY FORWARD

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FOCUS ON PRECISION AGRICULTURE



- Support research on energy friendly irrigation pumps, micro irrigation, climate smart technologies, internet of things etc.
- Technology can be used in the animal husbandry sector to monitor animal behaviour, health and production

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DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE

WAY FORWARD

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ZBNF AND PATENTED HERBAL INPUTS



SUBHASH PALEKAR
Agriculturist



- Rapid progress has been made in Organic Farming and steps should be taken to improve incomes of cultivators and dairy farmers.
- Zero Budget Natural Farming by Subhash Palekar is one example for innovation and it provided notable increase in farmers' net income by sharply reducing costs of production and improving the incomes by raising the yields.
- There are patented herbal inputs that improve soil quality and make plants more pest resistant.
- These herbal inputs can be applied across the Country.

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DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE

WAY FORWARD

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IMPROVE NON-FARM INCOMES



India will also have to accelerate growth in the manufacturing, services and exports sectors to wean labour away from agriculture.

- Moving labour out of agriculture into manufacturing will go a long way towards the goal of doubling farmers' income.
- Nearly two-thirds of rural income is generated in non-agricultural activities.
- In non-agricultural activities, important aspect is shifting farmers to agro-business and farm related skills, which are currently in short supply.
- Create and nurture agripreneurs for achieving greater value addition through agro-processing and propagation of modern extension services.

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DOUBLING THE FARMERS' INCOME: POLICY & GOVERNANCE

WAY FORWARD

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OTHER SUGGESTIONS



- The performance of Krishi Vigyan Kendras should be regularly reviewed by external agencies and they must be strengthened.
- ICAR and State Agriculture Universities should focus on providing recommendations across the farming value chain, covering production, post-production, processing and other value-addition activities.

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SINCERE THANKS
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